

Market Insights

Weekly Market Commentary

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November 24th, 2025



» Sarvesh Tiku, Head of Market Insights

Global Financial Markets Weekly Review: Week Ending Nov. 24, 2025

Equities: U.S. equities ended the week mixed as defensive flows dominated and rate-cut expectations shifted. The S&P 500 closed +0.2%, the Dow +0.4%, while the Nasdaq slipped -0.3% as profit-taking hit mega-cap tech. Sector dispersion widened: Healthcare (XLV +1.3%) and Financials (XLF +1.4%) outperformed on stable earnings revisions and lower yields, while Consumer Discretionary (XLY -2.6%) lagged after Tesla's -7% weekly slide and broad weakness across retail. Market breadth stayed thin, with only 56% of S&P constituents above their 50-day moving averages. Equity volatility drifted mildly higher as investors awaited November CPI and monitored renewed government shutdown risks.

Fixed Income: Bond markets strengthened modestly as cooling inflation anchored front-end yields and boosted expectations for a December Fed cut. The 2-year Treasury yield fell 6 bps to 3.48%, while the 10-year declined 4 bps to 4.10%, flattening the curve by roughly 2 bps on the week. Investment-grade spreads tightened by ~5 bps as fund flows favored high-quality credit; high-yield spreads widened 8–10 bps amid softer risk sentiment. Mortgage-backed securities returned +0.3% as refinancing activity capped upside. Money-market yields held near 4%, but ETFs targeting 5–7 year duration saw inflows accelerate as markets priced a ~70% probability of a December rate cut.

Commodities: Energy markets diverged sharply. Brent crude surged +7.2% to \$65.87/bbl after U.S. sanctions hit Rosneft and Lukoil, temporarily stranding an estimated 48 million barrels at sea. WTI crude rose +4.5% to \$61.03/bbl, while U.S. natural gas fell -3.8% to \$3.38/MMBtu following a 33 Bcf storage build and mild weather forecasts. Precious metals saw two-way volatility: gold fell -5.1% from recent all-time highs above \$3,100/oz, while silver climbed +4.0% on rising industrial offtake. Agricultural markets traded mixed—soybeans gained +1.8% as China increased forward purchases, but corn slipped -0.9% as U.S. yields hit 186 bu/acre and ending stocks were revised above 2.1B bushels. Power markets were highly unstable: SPP day-ahead prices ranged from -\$50/MWh to \$3,000/MWh amid outages in wind generation and tight reserve margins.

Currencies: FX markets reflected widening monetary policy divergence. The U.S. Dollar Index (DXY) climbed +0.6% as real yields firmed and odds of a December rate cut retreated. The British pound gained +0.9% to 1.33 on improved risk appetite, while the euro slipped -0.2% to 1.17 amid uneven Eurozone PMIs. The yen weakened -0.5% to 153.4 per USD as carry trades remained attractive and the BoJ reiterated policy patience. The Canadian dollar fell -1.1% to 1.403 as softer crude prices and weak domestic data lifted expectations for BoC easing. FX volatility ticked up, with the CVIX rising to 6.7 from 6.3 as traders repriced year-end rate differentials.

» Rudra Gopal, Equities Analyst

XLP Lifts 0.8% on Strong Retail Earnings and Falling Yields

The Consumer Staples sector had a steady week, with the XLP ETF rising about 0.8% and ending near its highs. Trading picked up sharply toward the end of the week, showing that investors were reacting to major economic news. Even with this small gain, the sector is still roughly flat for the year and continues to lag the broader market.

XLP showed some early signs of improvement in its charts. It held support in the mid-\$76 range and broke slightly above a short-term resistance level on Friday. Still, the fund remains below its key longer-averages, meaning the bigger trend is not strongly positive yet. Momentum indicators improved, but XLP would likely need to move about the \$78-80 area to signal a clearer uptrend.

Economic news drove most of the week's moves. Early on, concerns about the Federal Reserve delaying a rate cut pressured defensive sectors. But by Friday, dovish comments from a top Fed official pushed bond yields down and lifted staples stocks. At the same time, jobs data showed a slight cooling in the labor market and consumer sentiment remained weak, which generally supports demand for everyday essentials.

Company results were mostly positive, led by Walmart's strong earnings, which boosted the entire sector. Procter & Gamble continued to firm up after recent lows, while Coca-Cola and PepsiCo were flat as investors assessed long-term demand trends. Costco dipped mid-week but recovered much of the loss. Overall, consumer behavior continues to favor essentials and value-focused shopping, helping staples show stability despite a challenging broader market.

XLP: -0.39% since 2025-11-17



» Michael Pham, Equities Analyst

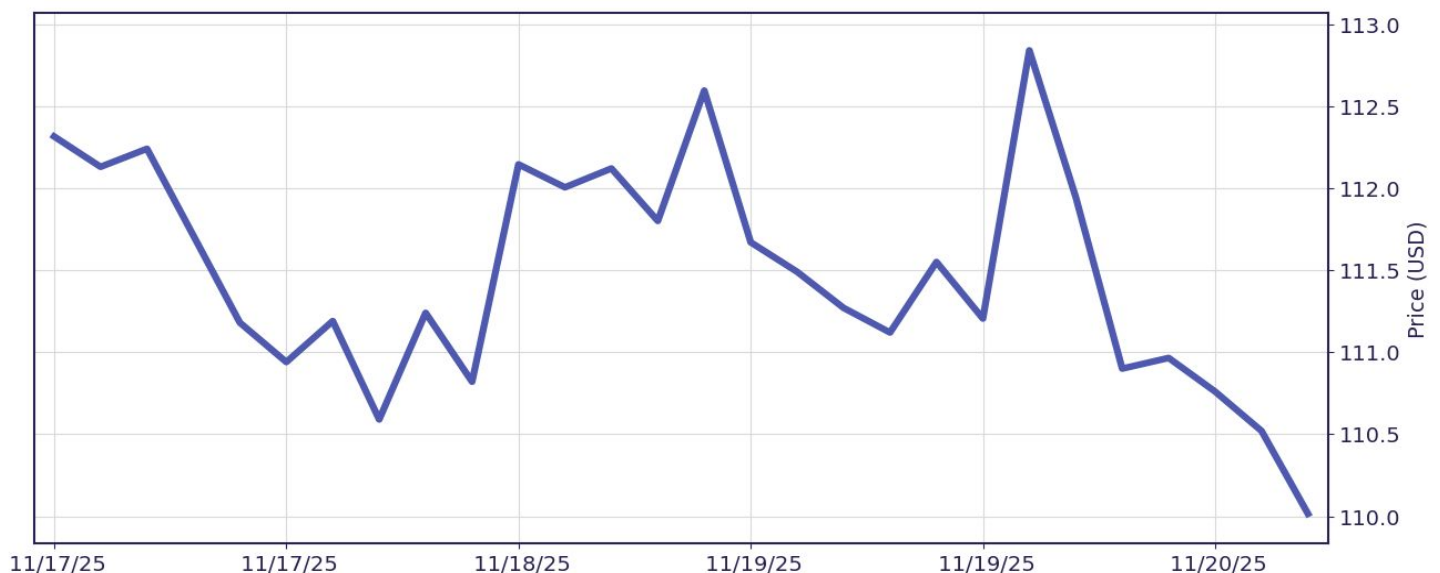
XLC falls 2.05% due to Big Tech and Ad-Market weakness

This past week, the XLC (Communication Services) Sector reported a 2.05% drop primarily due to two big factors - a pullback by both Meta and Netflix. Meta fell around 2.5% as reports surfaced about high AI spending and rising operating costs, so investors started pulling back, which only makes sense. Because Meta holds one of the largest weights in the XLC, even a slight move by them will also reflect in the general performance of the XLC, as seen in the 2.05% drop.

Netflix was also a big factor in the fund's drop in performance, where it dropped over 6% as news came about of a \$619 million one-time tax expense, which slightly lowered their profits. Additionally, there is some growing speculation that Netflix is bidding for Warner Bros. Discovery assets, which could make investors worried as M&A can be very costly and expensive. With Netflix carrying a significant portion of the XLC, a 6% drop contributes heavily to the general fund's performance. Thus, these two stocks (Netflix and Meta) explain a significant portion of the 2.05% drop of the XLC.

Lastly, the remaining weakness comes from a general loss of performance and feeling of softness across advertising-driven and media names as investors become increasingly aware about the impending "AI Bubble", digital ad-growth, and just general AI traffic quality. At the same time, some money was rotated out of high-valuation tech and communication stocks in general, which only contributed to the increased pressure. Many smaller companies within the sector also saw slight declines, which combining all of them together, leads to a significant build-up. Investors also waited for new guidance from several communication-services firms, which created a feeling of uncertainty. All together, this created a broad drag across the XLC sector.

XLC: -2.05% since 2025-11-17



» Boyang Gong, Equities Analyst

XLI Industrials Hit by Volatility: Defense Sector Shaken by Contract News

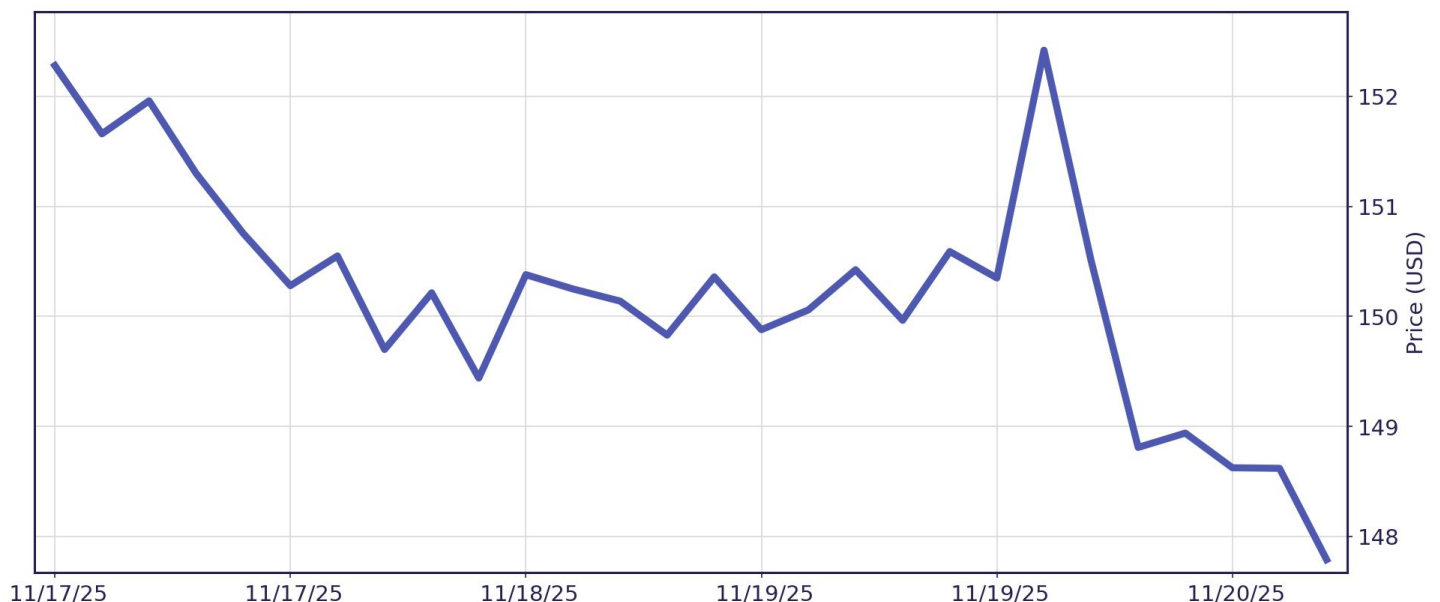
The Industrial Select Sector SPDR Fund (XLI) had an extremely volatile week, ultimately closing down -2.95%. The sector peaked at mid-week before a market-wide reversal on Thursday (Nov 20) sent the fund plummeting. XLI then staged a partial recovery on Friday, closing up +1.22% for the day at \$149.63. The week's turbulence was driven by a major macroeconomic data release and significant, divergent news within the key aerospace and defense industry.

The primary catalyst for the sharp mid-week drop was a broad market sell-off on Thursday. An early rally, fueled by strong earnings from tech-giant NVIDIA, was "abruptly halted" by fears that the Federal Reserve would not cut interest rates in December. These fears were triggered by the release of the long-delayed September jobs report, which was held up by the recent government shutdown. The report was mixed, showing stronger-than-expected job additions (119,000) but also a rising unemployment rate (4.4%), which created new uncertainty for the Fed's path. The XLI sector fell 1.7% that day amid the rout.

The Aerospace & Defense segment, a major component of XLI, faced significant company-specific news. Lockheed Martin (LMT), a key holding, saw its stock fall after news broke Friday that it had lost the next-generation F-47 fighter jet contract to rival Boeing (BA). This explains LMT's -1.60% drop by Friday's close. In contrast, Boeing (BA) had a strong week, not only winning the new F-47 contract but also announcing a \$13 billion deal with FlyDubai for 75 737 MAX aircraft on Wednesday.

Other top holdings were also impacted by major news. GE Aerospace (GE) shares fell 3.4% on Thursday after the NTSB's initial report on the fiery Nov 4 UPS cargo plane crash pointed to "evidence of fatigue cracks" on the pylon near the GE-made engines, dragging GE into the investigation. This wave of negative news overshadowed the Friday recovery, which saw machinery and rail stocks like Deere & Co (DE) and Union Pacific (UNP) bounce back, finishing up +2.29% and +2.26% respectively.

XLI: -2.95% since 2025-11-17



» Shivam Chopra, Fixed Income Analyst

Emerging Market Bonds Hold Firm as Global Investors Seek Yield Stability

The iShares J.P. Morgan USD Emerging Markets Bond ETF (EMB) invests in U.S.-dollar sovereign bonds from emerging economies. Since September, the ETF has gained a little over 3 percent, showing that demand for higher-yield EM debt has held up even as developed-market bonds swung around Fed expectations. Emerging markets continue to offer a clear yield advantage, and many large issuers have strengthened their fiscal positions in recent years. That stability has kept spreads relatively contained. Through September and most of October, EMB moved steadily higher as the dollar softened and investors looked for carry in a quieter rate environment. The ETF briefly touched the 97-dollar area in late October.

The tone shifted after the Fed's October meeting. The central bank cut rates but signaled that future moves were not guaranteed. U.S. real yields rose afterward, and EMB gave back some of its gains as global bonds adjusted to a more cautious policy outlook. Even with that pullback, the ETF has held up well compared with long-duration Treasuries, helped by its mix of yield and moderate duration.

Looking ahead, the return of full U.S. data should guide the next move. If inflation continues to trend lower and the dollar stays stable, emerging-market bonds may remain a steady source of income. If U.S. real yields climb again or global risk sentiment softens, EMB could see more pressure, but overall fundamentals across major EM borrowers still look more resilient than in past cycles.

EMB: +3.09% since 2025-09-01



» Sahaj Patadia, Fixed Income Analyst

iShares iBoxx \$ Investment Grade Corporate Bond ETF (LQD)

The iShares iBoxx \$ Investment Grade Corporate Bond ETF continues to serve as one of the most widely used instruments for broad investment grade credit exposure, offering investors with diversified access to high quality U.S. Corporate bonds with duration. Over the past week, LQD has traded in a tight range of 110 - 111 range which reflects a market environment of neutral sentiment and no directional conviction. Large institutions, including Legal & General Group PLC, recently increased their holdings, showing that big investors still see value in investment grade credit. With spreads widening between investment grade and high yield bonds, many investors are leaning towards safer corporate debt keeping LQD stable.

Overall LQD is viewed as a solid long term fixed income investment because it offers a balance of safety, income and diversification. The ETF holds hundreds of investment grade bonds across different sectors lowering risk compared to owning individual bonds. With markets still uncertain about future rate cuts and economic growth many investors prefer the reliability of higher quality corporate credit allowing LQD to benefit.

LQD: +1.41% since 2025-08-01



» Javad Aslanov, Fixed Income Analyst

iShares Broad USD Investment Grade Corporate Bond ETF (USIG)

The surge in "AI bond" issuances from major technology companies like Amazon, Alphabet, Meta, and Oracle has significantly increased investment-grade corporate debt supply which is the segment USIG targets. USIG tracks a broad USD investment-grade index with over 11,000 holdings, a duration of approximately 6.5 years, and a yield near 5%. When corporations finance AI capital expenditures through long-dated bonds, the supply pushes yields higher and prices lower, especially for longer-maturity securities. Since roughly 45% of USIG's holdings exceed five years in maturity and nearly 18% extend beyond twenty years, the fund is quite sensitive to these dynamics. Large issuances like Amazon's \$12 billion offering create near-term price headwinds for USIG, even as they boost income levels.

For medium-term investors, this trend may actually enhance USIG's appeal. As AI-driven spending drives continued bond issuance, credit spreads on high-quality issuers may widen, elevating USIG's SEC yield (currently high-4% range) without substantial credit risk, given that 90% of holdings are rated A or BBB across diversified sectors. If markets absorb this supply orderly and defaults stay low, USIG offers a more attractive yield as compensation for added duration risk. In summary, Big Tech bond issuances increase short-term volatility for USIG but establish a stronger yield profile for investors focused on multi-year total returns.

USIG: +1.27% since 2025-08-01



» Khalil Ben Zina, Fixed Income Analyst

iShares Treasury Floating Rate Bond ETF (TFLO)

The TFLO (iShares Treasury Floating Rate Bond ETF) tracks the Bloomberg U.S. Treasury Floating Rate Index, which is made up of U.S. Treasury floating rate notes. As of late November 2025, the fund holds about 6.6 billion dollars in assets and invests entirely in U.S. Treasuries, with very low credit risk and an effective duration close to zero. The 30 day SEC yield is around 3.9 percent and the year to date total return is a bit under 4 percent, which makes TFLO behave like a cash like parking spot that still earns a meaningful yield. On the price chart, TFLO shows a stair step pattern because the fund pays monthly dividends: the price drifts up between ex dividend dates and then drops by roughly the distribution amount before starting to climb again.

Recent performance reflects TFLO's role in a high but steady rate environment. The Federal Reserve has kept policy rates in the mid 3 percent range while signaling that any future cuts will likely be gradual, so short term Treasury yields remain attractive without much volatility. Since TFLO's coupons reset with short term rates, most of the return comes through income rather than big price moves, and the fund has very limited sensitivity to changes in longer dated yields. Investors have started to rotate some money out of floating rate products into longer duration bonds as they position for eventual rate cuts, but TFLO still makes sense for portfolios that want government credit quality, monthly income, and minimal interest rate risk.

TFLO: +0.15% since 2025-08-01



» Shrutee Sangeeta Behera, Fixed Income Analyst

Substantial Inflows for EMLC as Local-Currency Bonds Gain Traction

The VanEck J.P. Morgan Emerging Markets Local Currency Bond ETF (EMLC) invests in emerging-market government bonds in the respective local currencies of issuing countries. This gives investors the advantage of exposure to local interest rates in currency movements within the markets of countries like Brazil, Mexico, and South Africa among various others. As recent market news has seen global investors turning to EM debt that's denominated in local currencies, this bond has gained significant inflows of about \$245.9 million within a week. This surge in interest is the product of two factors.

Firstly, with a 30-day SEC yield of around 5.93% and an expense ratio of 0.30%, EMLC offers substantial income potential to investors and gives them exposure to inflation-sensitive markets. Second, with the weakening US dollar, local-currency bonds are becoming more appealing to foreign investors. The strengthening of EM currencies relative to the US dollar facilitates increased returns, however this does come with the risk of returns declining when these currencies weaken. Still, considering current market trends, EMLC has gained traction as an ETF that's ideal for investors that are looking for higher yields, diversification and the potential appreciation of currency.

TRS3.SW: +6.29% since 2024-8-1

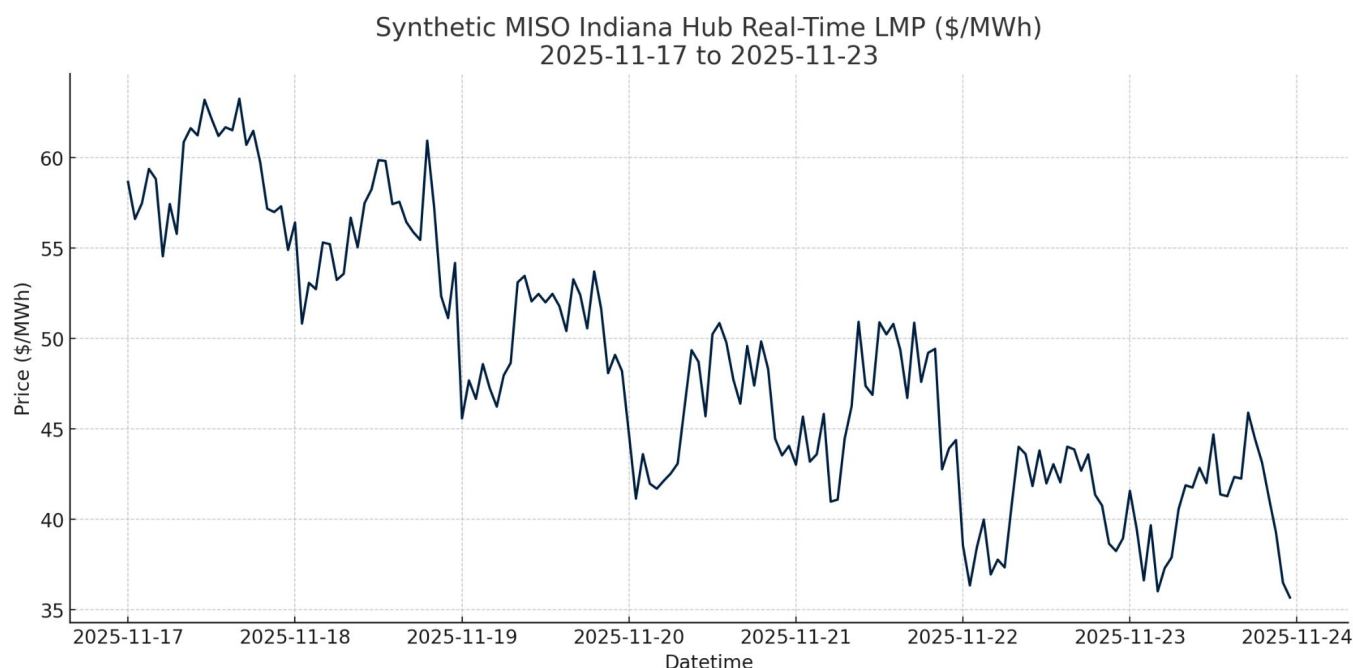


» Christian Merkt, Commodities Sector Head

Commodity Crossroads: The Erosion of U.S. Soybean Dominance in the Chinese Market

An unexpected reduction in power at Callaway has removed about 1.25 GW of nuclear energy from MISO when the system is already under pressure, supporting the positive trend seen in this spring's Planning Resource Auction, where summer capacity sold for \$666.50/MW-day and annual capacity prices were in the low \$200s/MW-day range. The outage concentrates risk in the North/Central footprint, where reserve margins had already compressed to around 10%, and it increases the system's reliance on gas and coal units that are more sensitive to fuel and emissions costs. For traders, this means there is a greater chance of price spikes on days with high demand and low wind: any additional problems with power plants or transmission lines can more easily lead to higher day-ahead and real-time prices at

On the listed side, the most direct liquid proxy for this event is **Ameren Corporation (AEE)**, given its exposure to Missouri generation and MISO North/Central transmission. Over the week of 17–21 November, AEE traded in a tight band just above \$103–\$106, but price action masked a meaningful pickup in turnover and intraday volatility as the market digested both the outage headlines and recent regulatory updates. From a relative-value standpoint, the combination of structurally higher MISO capacity pricing, rising large-load interconnection demand, and episodic nuclear risk supports a constructive view on regulated transmission and wires-heavy utilities in the region, while also increasing the optionality value of MISO hub congestion and on-peak forward power positions into 2026.



» Khoa Dang, Commodities Analyst

WTI Falls to One-Month Low on Oversupply Risks amid Renewed Diplomacy

U.S. crude oil futures retreated sharply during the week of November 17 to 23, with WTI sliding more than 4 percent to settle near \$57.5 to \$58 per barrel, the lowest level in a month, as shifting geopolitical signals reshaped the market's supply outlook. The decline accelerated after President Zelensky expressed willingness to peace talks, a development that raised the possibility of eased sanctions and higher Russian export flows. Although European diplomats questioned whether a deal would materialize, the prospect alone added to concerns about oversupply and pressured prices throughout the week.

Midweek supply data reinforced the bearish tone. API figures showed a 4.4 million barrel increase in U.S. crude inventories, while EIA data revealed mixed product builds. Global barrels at sea rose to nearly 1.4 billion barrels, indicating softer refinery demand and expanding floating storage. Russia also said sanctions had not reduced its output, further pressuring prices. Additional geopolitical developments, including Iran's brief tanker seizure and heightened U.S. military activity near Venezuela, added volatility but limited support. Later in the week, the implementation of sanctions on Rosneft and Lukoil stranded an estimated 48 million barrels of Russian crude at sea and prompted Indian refiners to seek alternative supplies. The disruption steadied prices only briefly, as traders focused instead on rising inventories and the resumption of loadings at Russia's Novorossiysk port. Expectations of a supply glut into 2026, driven by rising production and slowing demand growth, kept WTI under pressure.

Looking ahead, the forward curve reflects a market struggling with persistent oversupply risks and an uncertain geopolitical backdrop. Seasonal demand, OPEC+ decisions, and the pace of Russian exports will guide sentiment. With floating storage rising and forecasts calling for a record surplus next year, near term market tone remains soft, though geopolitical shifts may still drive volatility as winter progresses.

CL=F: -2.35% since 2025-11-17



» Dev Patel, Commodities Analyst

USDA Data Reveals Corn Paradox: High Domestic Supply vs. Historic Low Global Carryout

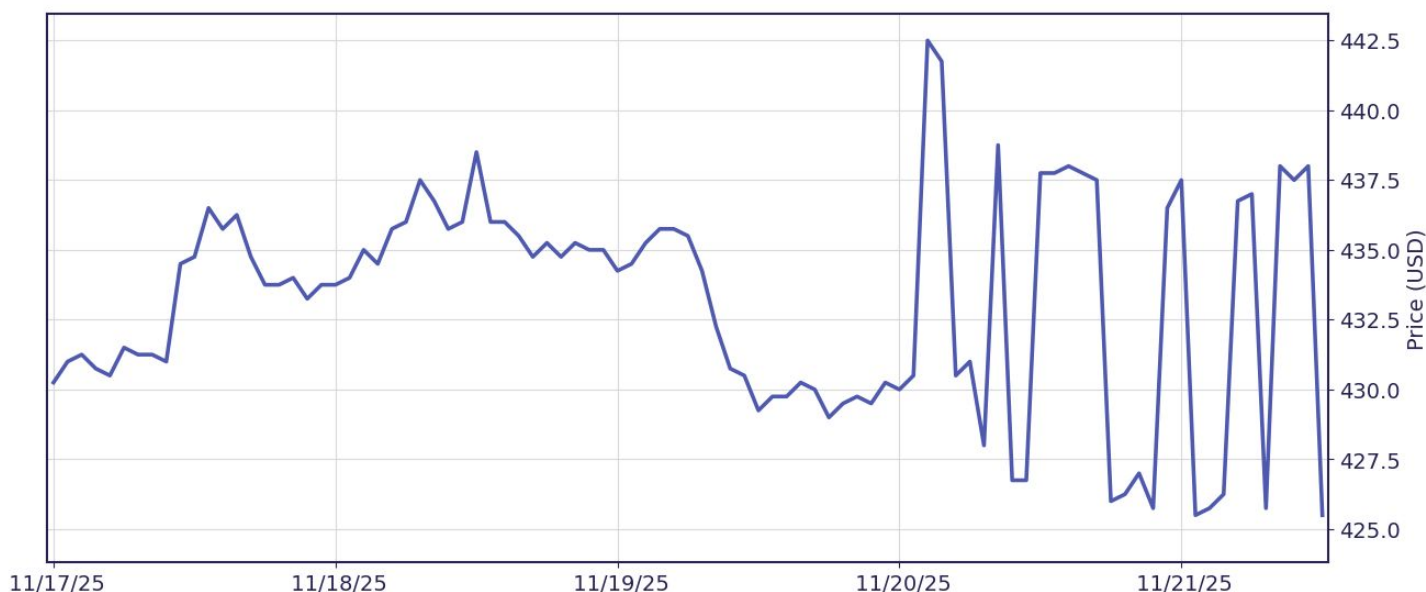
This past week, corn futures saw modest declines across most contracts, with the December 2025 contract trading around \$4.255 per bushel. This slight downward drift comes despite strong recent export numbers, as the market grapples with the fundamental weight of a near-record domestic harvest.

This downward pressure reflects traders' focus on the massive U.S. ending stocks, which were recently revised higher to over 2.1 billion bushels, by the latest USDA reports.. This is a direct consequence of exceptional 2025/2026 corn production, with the national average yield pegged at 186.0 bushels per acre. This glut of domestic supply has supported a generally bearish outlook for U.S. producers.

However, the bearish sentiment is heavily countered by strong international demand. The USDA also revised the forecast for Global Corn Ending Stocks down to one of the lowest levels in years. This means the world will be critically dependent on the massive U.S. harvest to meet consumption needs. This development provides a much needed structural boost to market sentiment, as large U.S. export sales are the only way to quickly bring down the domestic surplus.

Looking ahead, the near-term outlook for corn appears neutral to cautiously bearish. If the aggressive U.S. export pace continues and major buying nations like China and Mexico remain active, prices could stabilize or attempt a rebound toward the \$4.40 resistance level. Conversely, if export commitments lag or weather conditions in the key South American growing regions (Brazil/Argentina) turn out favorable for their upcoming corn crop, the market will retrace to focus purely on the ample domestic supply, likely pushing prices back towards the psychological support of \$4.00 per bushel.

ZC=F: -1.10% since 2025-11-17



» Khoa Dang, Commodities Analyst

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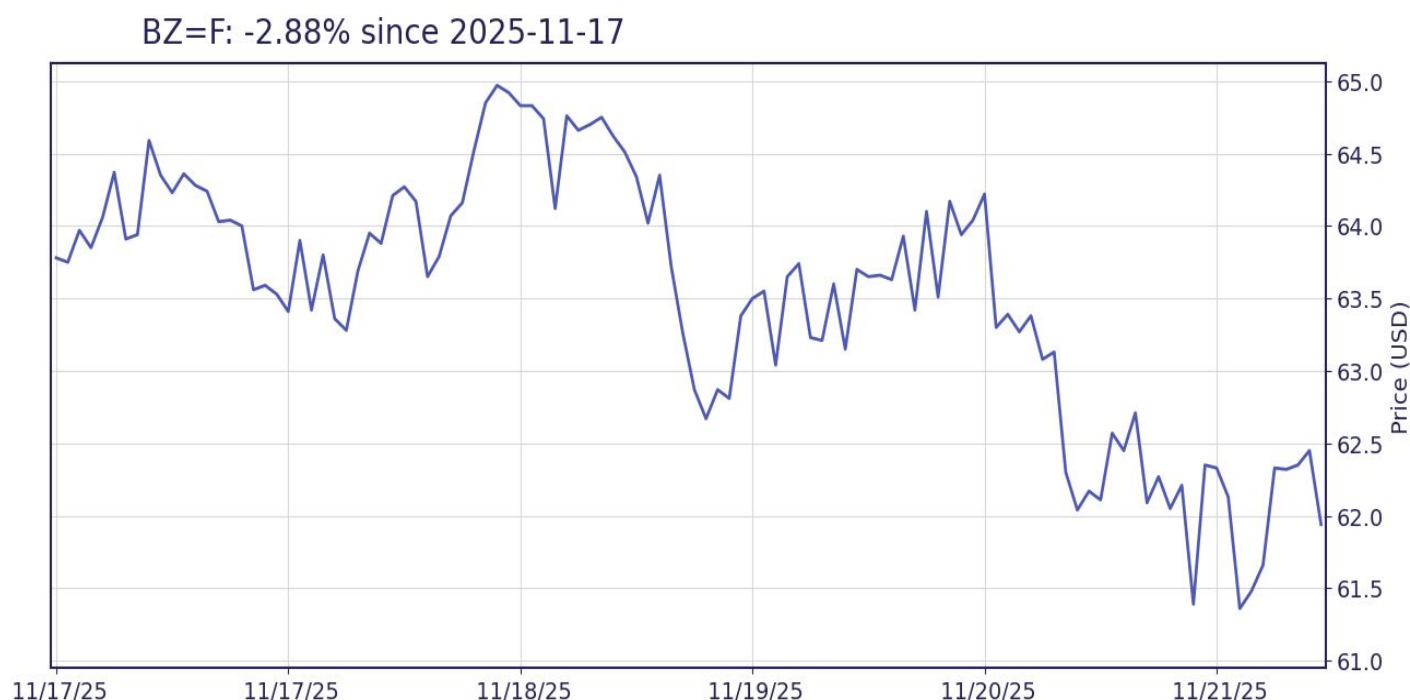
» Mohan Hegde, Commodities Analyst

Brent Declines Toward Low \$60s as Peace Signals Raise Oversupply Concerns

Brent crude prices moved lower this week, posting a weekly loss and slipping toward a four-week low as easing geopolitical tension and steady supply kept pressure on the market. Prices hovered near \$62 to \$63 per barrel after President Volodymyr Zelenskiy signaled openness to renewed peace discussions. The proposal, drafted with participation from the United States and Russia, includes possible territorial concessions and the option of sanction relief. Traders interpreted this as a potential path to higher Russian export availability, raising concerns about an oversupplied physical market at a time when balances are already loose.

Previously announced United States sanctions on Rosneft and Lukoil took effect this week, and early estimates suggest that as much as 48 million barrels of Russian crude could be delayed or stranded in transit as refiners assess compliance requirements. Indian buyers, which have relied heavily on discounted Russian barrels, are already seeking alternate supply. Despite this shift, inventories remain comfortable, tanker storage is increasing, and refinery margins have softened across several regions. Together these factors have limited any upward response in futures markets, even with the potential for supply disruptions.

Looking ahead, analysts expect the Brent product to remain bounded within a strict range as healthy stock levels, steady non-OPEC output, and modest demand growth keep the market from establishing a strong directional trend. Forward curves show only slight winter premiums and imply a balanced near-term outlook. For now, the market continues to trade with a mild bearish tilt, as geopolitical uncertainty is offset by the broader backdrop of adequate supply and a demand environment that remains stable but unspectacular.

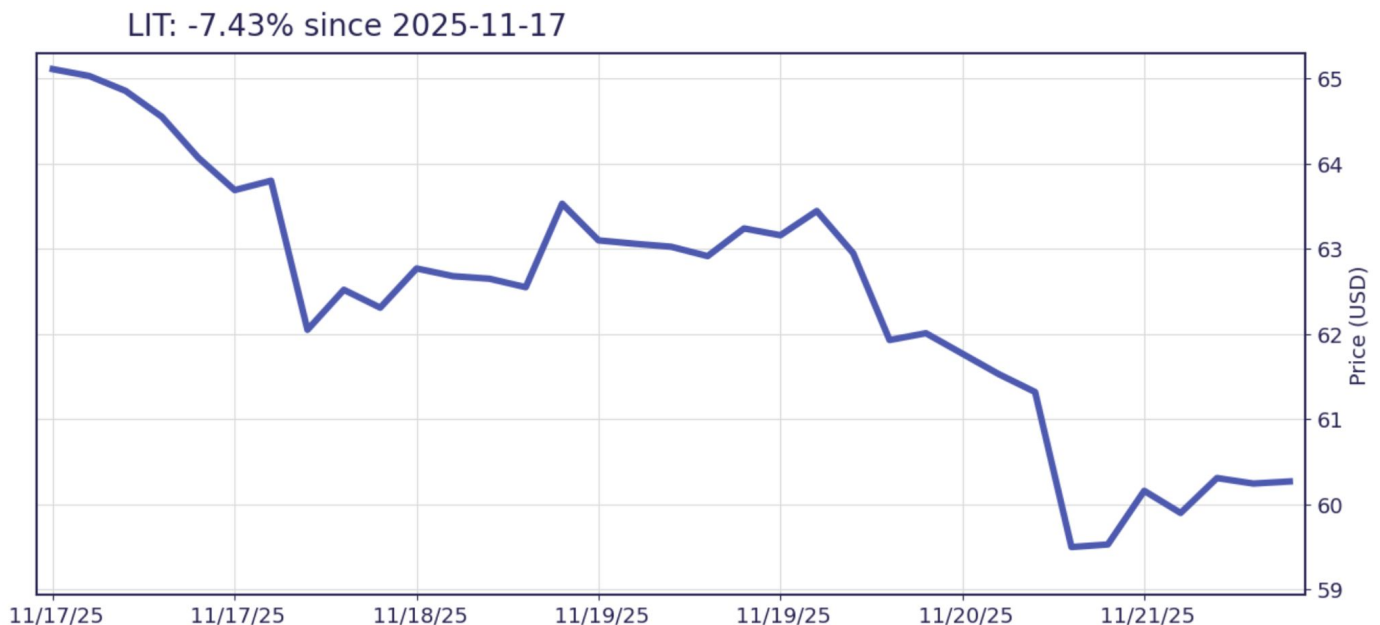


» Shruti Satheesh, Commodities Analyst

LIT ETF Plummets to 6-Month Low Amid Oversupply and EV Demand Concerns

This market week, the Global X Lithium & Battery Tech ETF (LIT) continued its sharp descent from November 17th through the 21st, 2025, reaching a new 6-month low near the \$59.40 USD mark. The highest price this market week was approximately \$65.00; however, this ETF, which tracks companies across the lithium cycle from mining to battery production, failed to hold its high. The overall trend this week reflected a -7.43% decline. This steep drop occurred despite a surge in Chinese domestic lithium production. The decrease of this ETF suggests that investors may still view it with skepticism, given the increase in demand in Asia. Asia, in particular, energy storage systems remain robust, and major producers like Ganfeng Lithium have predicted bullish 2026 demand forecasts.

The primary reasons for the continuing decline in the broader lithium markets are likely a combination of global lithium oversupply and lightning demand for the electric vehicle sector in Western markets. Although positive earnings reports from major producers like Sociedad Química y Minera (SQM) and bullish 2026 demand forecasts from companies like Ganfeng Lithium suggest that this market will be growing a lot in the next weeks, the structural overhang from two years of oversupply will continue to pressure stock prices. Furthermore, macro-level risks are playing a huge factor in Lithium and its related products' prices. Until Lithium's global supply and demand align, sentiment in lithium surrounding products may remain fragile despite improving long-term prospects.



» Gauri Sharma, Currencies Sector Head

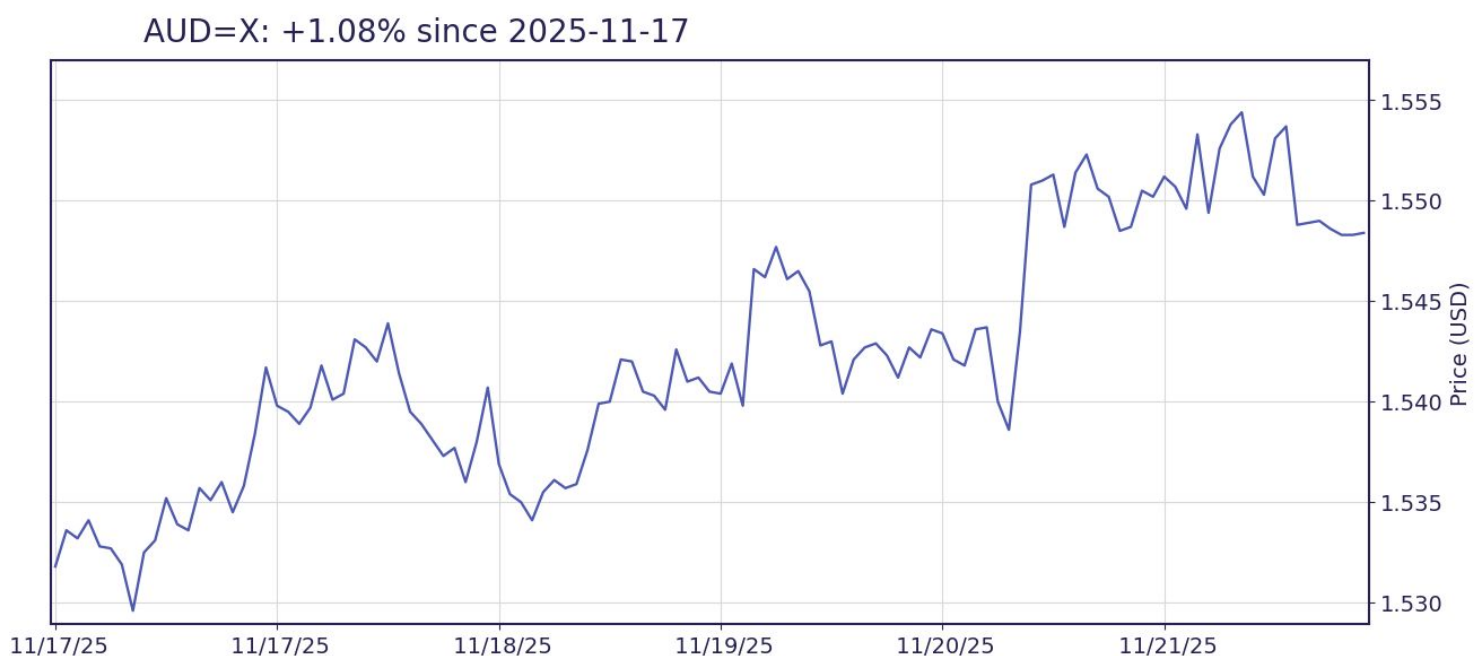
Aussie Dollar Stalls Despite Firm PMIs; USD Strength Dominates

From November 17 to 22, AUD/USD struggled to extend last week's rebound, with the pair capped by renewed US Dollar strength despite improving Australian data. Early gains faded quickly as markets shifted away from expecting a December Fed rate cut, pushing US yields higher and boosting the USD across majors. This kept AUD/USD stuck below the mid-0.65 region even as risk sentiment briefly stabilized.

Australia's preliminary PMI figures were a bright spot, with both manufacturing and services returning to expansion and signaling broad economic resilience. This supported the RBA's cautious stance, reinforcing expectations that policymakers will hold rates steady for an extended period. Still, the Aussie couldn't fully capitalize on the data, as global risk appetite remained fragile.

In the US, stronger labor data and hawkish messaging from the Fed helped lift the dollar. Investors grew less confident about near-term easing, and the USD benefited from a combination of firm yields, slower equity momentum, and political uncertainty. Together, these factors limited the Aussie's upside and attracted sellers on rallies.

Overall, AUD/USD remains range-bound, with domestic resilience offering support but US policy expectations and risk sentiment keeping the pair heavy. Moves toward 0.6500–0.6520 are likely to face resistance, while the 0.6400 area remains an important support zone heading into key inflation data from both economies.



» Shivam Chopra, Currencies Analyst

USD/CAD Pushes Higher as Oil Softens and Policy Signals Favour the U.S.

USD/CAD edged higher this week, moving toward the 1.41 level as the Canadian dollar struggled to find support from either data or commodities. The move reflects a mix of softer domestic signals in Canada and a U.S. policy backdrop that is still more supportive for the dollar than earlier expected.

Oil remains a key piece of the story. Crude prices have slipped from recent highs, and with energy exports playing such a central role in Canada's economy, the drop has removed one of the loonie's most reliable cushions. When oil loses momentum, USD/CAD tends to drift higher, and we have seen exactly that over the past few sessions.

Domestic data in Canada has not helped. Growth has been underwhelming, with recent indicators pointing to weaker housing activity and cooling inflation pressures. Markets are slowly leaning toward the idea that the Bank of Canada may need to ease policy sooner than it would like, especially with wage growth and consumer demand showing signs of fatigue. Every step in this direction widens the expectations gap with the U.S.

On the American side, the dollar's tone has stayed firm. The probability of a near-term Fed cut has faded, and real yields in the U.S. remain well above Canadian levels. This leaves the policy environment still tilted in favour of the dollar. Combined with lower commodity support for the loonie, USD/CAD has continued to grind higher without much resistance.

USDCAD=X: +0.50% since 2025-11-16



» Purvi Kathalkar, Currencies Analyst

USD/JPY: Dollar Strength Pushes USD/JPY Toward 158 Amid BOJ Caution

From November 17 to November 22, USD/JPY extended its climb from previous weeks, with the dollar nearing 158 yen before a brief rebound. The pair's upward momentum reflected renewed dollar strength as shifting rate-cut expectations favored U.S. yields over Japan's persistently low-rate environment.

The broader backdrop tilted toward the dollar after comments from the Fed dampened expectations for a near-term policy cut. As markets become less confident about a December rate cut, U.S. yields move higher, pushing the dollar index to its strongest level since late May. At the same time, investors maintained a cautious tone ahead of U.S. data releases, helping reinforce the dollar's bid.

For the yen, the week was marked by a familiar tension: policymakers voiced unease as the currency approached multi-month lows, yet the Bank of Japan offered no concrete policy shift. This mix of warnings without real action kept traders paying attention but did little to offset the large rate gap between the U.S. and Japan. Talk about possible intervention briefly slowed the rise in USD/JPY, but the main drivers, such as the expectations that the BOJ will stay dovish and concerns about Japan's fiscal outlook, continued to push the pair higher.

Altogether, stronger U.S. yields, sensitive levels around possible intervention, and Japan's hesitation to change its policy suggest that USD/JPY will likely stay on the higher side for now. The 158 area still acts as a barrier, while moves down toward the mid-155 range may find support unless Japan sends a clear policy message or new U.S. inflation data shifts the trend.

JPY=X: +1.13% since 2025-11-17



» Kavya Adusumilli, Currencies Analyst

EUR/USD: Euro slips as U.S. yields support the dollar

The euro traded slightly lower against the U.S. dollar this week, with EUR/USD holding near the lower end of its recent range as mixed Eurozone data and steady U.S. yields kept the pair contained. Weaker German indicators did weigh on sentiment, but generally firm U.S. data and a limited risk appetite supported the dollar and kept it hard for the Euro to increase.

The euro area's activity figures remained uneven, with manufacturing still contracting and services slightly slowing. Inflation is easing but remains above target, prompting the ECB to maintain a cautious stance in its recent comments. Meanwhile, stable U.S. labor and spending data encouraged markets to push out expectations for early Fed cuts, giving the dollar a slight edge in broader trading.

As a result, EUR/USD traded in a narrow range, even with small recovery attempts. Persistent Euro area growth concerns and a firm U.S. rate profile made it difficult for the euro to gain traction throughout the week.

Looking ahead, EUR/USD could drop toward the low 1.07s if euro area inflation comes in softer or if U.S. yields increase once again. However, a steadier risk environment or firmer euro area data could help the pair stabilize and attempt a move back toward mid-1.08 levels.

EURUSD=X: -0.78% since 2025-11-16



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